

Ventures and member loans

Working draft. Not adopted law. Not a legal opinion.

29 September 2026

In plain words

- Three separate accounts that never mix.
- Personal loans in writing, with a fixed payment plan.
- Business help decided by a panel, not council.
- Nation businesses post their results every quarter.
- Treaty annuity money is never taken to pay a loan.

Why this draft is here

Loans, grants, and Nation businesses get tangled when they share one account. Keeping them apart, with written rules for each, keeps them fair and easy to check.

1. Three separate pots

1.1 Money under this code is one of three things, each in its own account:

Pot	What it is	Draft limit
Member loan	A personal loan that is paid back	\$5,000 owing per member at a time
Member business help	A contribution to a member's own business	\$10,000 per member in one financial year
Nation business	A business the First Nation owns	The spending and contracts code applies to every payment

1.2 The limits are draft amounts. Electors may change them before adoption.

1.3 Mixing the pots in one account is a breach. The finance officer splits them within 14 days of this code coming into force. If they are still mixed on day 15, new loans and business payments stop until they are split.

2. Member loans

2.1 A member may have one loan at a time. The written agreement states the amount, the interest rate (2 percent a year unless the budget sets another), the monthly payment, and a term of no more than 24 months. There are no loans made out loud. A payment without a signed agreement is a debt of the person who paid it, due within 30 days.

2.2 The finance officer decides a complete application within 30 days, in writing, using the limit and the arrears rule. Council does not decide loans. A decision by a councillor is void.

- 2.3 If a payment is missed, the finance officer sends a written notice within 14 days. After 60 days behind, the member gets no new loan until caught up.
- 2.4 Money may be taken from a program payment to cover a loan only if the loan agreement says so. It must never be taken from a treaty annuity. Staff who take it from an annuity must reverse it within 7 days and may not handle loans for 1 year.
- 2.5 Council may not forgive a loan. Forgiveness passes only by member vote: a majority of votes cast with at least 25 percent of electors voting, on 21 days' notice. A forgiveness by council is void and the debt is put back on the books within 7 days.
- 2.6 The finance officer posts, every quarter, the number of loans, the total lent, and the total repaid. Names are not posted.

3. Member business help

- 3.1 The applicant files a short plan: what the business does, what the money will buy, and how it will be tracked.
- 3.2 A panel of the finance officer and two electors named by the appeal body decides within 45 days, in writing. Council does not decide. A council approval is void.
- 3.3 The recipient files a one page report within 12 months on what was bought and whether the business is operating. A recipient who doesn't file can't get more help until they do. The finance officer sends a reminder 30 days before it is due.

4. Nation businesses

- 4.1 Each Nation business keeps its own books. The finance officer posts its quarterly result within 30 days after the quarter.
- 4.2 A loss is not covered by moving money from another pot unless the spending and contracts code is followed for that transfer. A quiet transfer is void and must be reversed within 14 days by the person who made it.
- 4.3 A Nation business must not hire or contract with the chief, a councillor, or their immediate family except under the family contract rule in the spending and contracts code.
- 4.4 Directors of a Nation business file a conflict disclosure under the conduct code.

5. Changing this code

- 5.1 Council must not amend or suspend this code by resolution. A resolution that tries to is void on the day it is signed, and the appeal body posts that within 14 days.
- 5.2 An amendment passes under the constitution, Part 9: a majority of the votes cast are yes, and at least 25 percent of all electors cast a ballot.
- 5.3 An amendment that removes or weakens a protected rule listed in the constitution, Part 8, passes only if at least two thirds of the votes cast are yes and at least 40 percent of all electors cast a ballot.
- 5.4 The electoral officer posts the full proposed text and a plain summary at least 45 days before the vote, sends it to every elector with a known address, and posts the count within 3 days.

6. Review and coming into force

- 6.1 This code comes into force on the day after the electors approve it under the constitution, Part 9. Until then it is a draft. It does not repeal any election code, by-law, or policy already in force.
- 6.2 Where a law already in force sets its own rule for being replaced, the vote must meet that rule too. A lawyer should compare the two texts before the vote.
- 6.3 The appeal body reviews this code every 4 years from the day it comes into force and posts a written report within 60 days after that anniversary.
- 6.4 Within 90 days of that report, council either puts a recommended amendment to the electors or posts written reasons for not doing so. If council does neither, council honoraria stop on day 91 until one of those is done.
- 6.5 The records officer keeps the adopted text and its plain summary posted for at least 10 years.

Before members vote

This is not legal advice. A lawyer, or a person who works in First Nation governance, should review this draft before members vote. A by-law that conflicts with the Indian Act, the Criminal Code, or other federal law has no effect to the extent of the conflict. Police and prosecutors do not always enforce band by-laws, and the Minister's powers under the First Nations Financial Transparency Act, section 13, are optional. That is why the consequences in this draft are internal: office, pay, repayment, and eligibility.